Inflation

Meaning, formula and base effect

Inflation = sustained rise in the general price level; purchasing power of money falls. A rise in one commodity alone is a relative-price change, not necessarily general inflation.

YoY inflation (%) = [(current index / index in the same month last year) - 1] × 100. Month-on-month inflation uses the preceding month. The **base year** anchors an index at 100; the **comparison base** is the earlier period used to calculate inflation.

Base effect: a high comparison-period price level can lower measured inflation even while current prices rise. Example: index 100 → 110 → 115.5 gives inflation 10% → 5%; prices have not fallen.



Prices rise; inflation can slow

Choose a recent, representative base year and revise weights when consumption/production patterns change. Avoid treating an abnormal drought, crisis or price spike as representative. Index levels from differently based series cannot be compared directly.

Types: do not confuse the terms

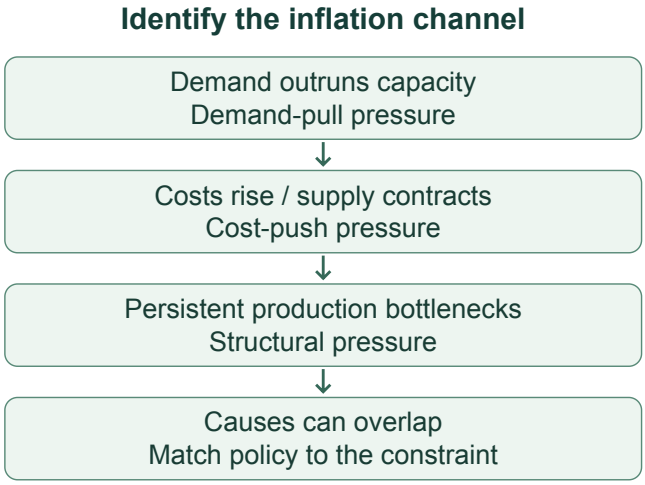
Term	Meaning / memory cue
Creeping	Slow inflation; textbook convention around 2-3% annually
Walking / trotting	Moderate inflation; textbook range 3-10% annually
Galloping	Rapid inflation; the supplied text uses above 10% up to 50% annually
Hyperinflation	Conventional Cagan threshold: above **50% per month**, not per year; money loses its store-of-value role
Disinflation	Inflation slows, e.g. 8% → 4%; prices still rise
Deflation	Sustained fall in the general price level; real debt burden rises
Reflation	Policy stimulus to restore demand/output and counter deflation or recession
Stagflation	High inflation + weak/stagnant growth + high unemployment
Skewflation	Non-standard term for divergent sectoral prices, e.g. food inflation alongside falling prices elsewhere

These speed bands are descriptive conventions, not RBI statutory categories. Historical hyperinflation examples: Germany in the early 1920s, Hungary in 1946 and Zimbabwe in the 2000s. Reflation may use fiscal spending/tax relief and monetary easing; currency printing is not its sole instrument.

Why prices rise

Type	Trigger	Examples
Demand-pull	Aggregate demand outruns available output/capacity	Fiscal stimulus, private spending, credit expansion, exports, higher purchasing power
Cost-push	Costs rise or supply contracts	Oil/import prices, currency depreciation, wages beyond productivity, indirect taxes, drought/floods, supply-chain disruption
Structural / bottleneck	Persistent supply rigidities prevent response	Low agricultural productivity, poor storage/logistics, fragmented markets, shortages

Demand ≠ automatic inflation: greater demand can initially raise output when spare capacity exists. Wage indexation can sustain a wage-price spiral but is not itself the same as an initial demand shock. Higher interest rates normally restrain demand. Depreciation can support exports and also raise imported input costs.



Identify the inflation channel

India: volatile monsoons/El Niño, perishable-food shortages, oil-import dependence, geopolitical disruption (including Russia-Ukraine), hoarding, distribution costs and changing diets. MSP increases may affect some prices; the effect depends on procurement, supply response and market conditions. Monetised deficits can add inflationary pressure; productive public investment may instead expand capacity over time.

Price indices: current series and historical series

Indicator	Measures / compiler	Base and exam distinction
CPI Rural / Urban / Combined	Household consumption prices of goods **and services**; NSO, MoSPI	**2024=100**, released from January 2026; earlier headline series **2012=100**
CPI-IW	Industrial workers; Labour Bureau, Ministry of Labour & Employment	**2016=100**; used for wage/DA indexation
CPI-AL / CPI-RL	Agricultural / rural labourers; Labour Bureau	**2019=100**, replacing 1986-87 from June 2025 releases
WPI	Goods prices upstream; Office of Economic Adviser, DPIIT, Ministry of Commerce & Industry	**2022-23=100**, launched 15 June 2026; replaces **2011-12=100**
GDP deflator	Prices of domestically produced final goods/services in GDP; national accounts	Implicit index: nominal GDP / real GDP × 100
PPI	Producer output prices / input costs, with separate series	Indian output, trial input and seven service PPIs launched in June 2026, base **2022-23**

CPI and consumer food prices

- **Headline inflation:** change in the full CPI basket. **Core inflation:** usually excludes food and fuel; the exact exclusion must be stated. Refined core may also exclude petrol, diesel and lubricants within transport.
- CPI reflects consumer living costs and is India's monetary-policy anchor. It includes retail margins and relevant consumer taxes, unlike a basic-price producer index.

- The **2024 series** uses HCES 2023-24 consumption information and COICOP 2018 classification. Food-and-beverages weight is **36.75%**; the old 2012 classification weight was **45.86%**. A like-for-like COICOP reclassification of the old series gives **42.62%**, so the raw change also reflects classification changes.
- **Consumer Food Price Index (CFPI):** a food subset of CPI; not identical to the entire CPI food-and-beverages division. Old claims about 2012 weights and rural housing must be read with that series label; the 2024 series also measures rural housing.
- NSO was formed by integrating CSO and NSSO in 2019. DA for industrial workers is linked to **CPI-IW**, not automatically to CPI Combined.

CPI methodology and January 2026 release; Labour Bureau index bases.

WPI: retain both series for PYQs

Feature	2011-12 series (historical)	2022-23 series (June 2026 onward)
Number of goods	697	957
Primary articles weight	22.62%	22.76%
Fuel and power weight	13.15%	14.11%
Manufactured products weight	64.23%	63.13%
Weight derivation	Net traded value	Gross value of output

The new series adds solar, wind and nuclear electricity; moves crude petroleum/natural gas into fuel and power. **WPI Food Index = food articles + manufactured food products**, not all goods. WPI does not become a services index merely because separate service PPIs now exist. Current WPI is monthly; the 2010 PYQ refers to its older weekly reporting context. The modern quick series began in 1942; earlier historical records also exist.

2026 WPI/PPI launch; new WPI base announcement.

GDP deflator and PPI

GDP deflator = nominal GDP / real GDP × 100. If nominal GDP is 220 and real GDP is 200, deflator = 110. This means prices are 10% above the reference level; it does **not** prove current-year inflation is 10%. Deflator inflation requires comparison with the previous period's deflator.

- Includes domestic final consumption, investment, government output and exports; imports are not directly part of domestic production.
- Its composition can change with output; CPI instead represents household consumption. Neither measure is universally 'best'. GDP estimates/deflators are available quarterly and annually, not as a monthly consumer-price measure.
- **PPI:** producer prices received, distinct from consumer prices paid. The B.N. Goldar working group (2014) recommended PPI development; the claim that India has no PPI is now historical.
- New output PPI is monthly; manufacturing input PPI is **experimental**; seven service PPIs are quarterly. Output/service PPI uses basic prices; trial input PPI uses purchasers' prices. Service coverage is selective, not the whole service economy. DPIIT launch and release arrangements.

Other indices

FAO Food Price Index: international traded food prices; cereals, vegetable oils, dairy, meat and sugar. **January 2026:** 123.9 points, down 0.4% month-on-month; this is a dated global indicator, not India's retail inflation. FAO January release.

House Price Index: residential property-price movement. The supplied RBI **2010-11 base, ten-city** description refers to the older series. Do not confuse it with **NHB RESIDEX**, a separate housing index. Property-price inflation need not move with headline CPI.

Who gains and who loses?

Group / channel	Effect, subject to conditions
Fixed nominal debtors	Unexpected inflation reduces real repayment burden
Lenders / fixed-income recipients	Lose purchasing power unless adequately compensated/indexed
Existing fixed-rate bonds	Higher market interest rates generally lower market prices
Businesses	May gain if selling prices rise faster than costs; squeezed if costs outrun prices
Poor households	Food inflation hurts disproportionately; real wages may lag
Savers	Negative real returns can encourage gold/property holdings
External sector	Higher domestic inflation may erode competitiveness; depreciation has mixed effects
Government	Nominal revenues may rise, but subsidies, wages, interest and procurement costs can also rise

Inflation tax: erosion of purchasing power of money balances. **Inflation premium:** component of nominal interest compensating expected inflation. **Real interest ≈ nominal interest - inflation**; exact relation is (1 + nominal)/(1 + inflation) - 1. A bank's loan-deposit spread is not the definition of inflation premium.

Inflation does not inevitably increase employment, reduce saving, depreciate currency or produce stagflation. Outcomes depend on expectations, policy, supply and whether inflation was anticipated.

Phillips curve and inflation targeting

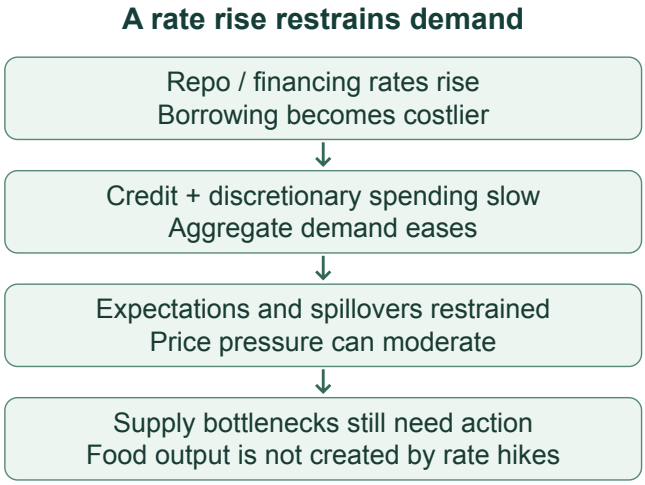
A.W. Phillips (1958) originally examined wage inflation and unemployment. A short-run inverse relationship can occur under given expectations; supply shocks and changing expectations shift the curve. No permanent long-run employment gain follows from ever-higher inflation. The 1970s oil shocks illustrated stagflation and challenged a stable trade-off.

Urjit Patel committee: constituted 2013, report 2014; recommended CPI as nominal anchor and a transparent inflation-targeting framework. Monetary Policy Framework Agreement: **2015**; statutory framework in the RBI Act, 1934: **2016**.

Flexible inflation targeting: price stability while keeping growth in mind; not a rule to ignore output or employment. Central Government fixes the target in consultation with RBI under **section 45ZA**. Target = **4% CPI inflation**, tolerance **2-6%**. Renewed for **1 April 2026-31 March 2031**, after the 2016-21 and 2021-26 periods. Gazette notification S.O. 1580(E).

Failure criterion: average inflation above 6% or below 2% for three consecutive quarters triggers statutory accountability; a single month's breach is different. Benefits: anchor expectations, transparency, protect real returns and reduce inflation uncertainty. Limits: supply shocks, monetary-transmission lags and growth costs of excessive tightening.

Control: match the policy to the cause



A rate rise restrains demand

Policy	Instruments	Limitation / trade-off
Monetary	Raise repo/SDF rates, absorb liquidity via OMO sales, adjust CRR; selective credit controls/moral suasion	Restrains demand and second-round effects; cannot directly produce onions/oil
Fiscal	Restrain excess demand, reprioritise expenditure, targeted relief; tax/duty adjustment	Broad contraction can hurt employment/capex; tax rises may raise costs
Supply / administrative	Buffers, imports, lower logistics losses, anti-hoarding action, temporary stock/export measures	Export bans hurt producers; blanket controls can distort incentives
Structural	Irrigation, storage/cold chains, productivity, diversified imports and competitive markets	Takes time; most important for persistent bottlenecks

SDF has been the liquidity-corridor floor since 2022; do not mechanically describe fixed reverse repo as the current floor. SLR/bank rate are textbook instruments but not interchangeable with the operating repo rate. Countercyclical government taxation/spending is **fiscal**, not qualitative monetary policy.

Food-inflation answer: identify climate/yield, seasonality, oil/feed/fertiliser, protein-demand changes and storage/marketing bottlenecks → RBI anchors expectations and limits spillovers → government tackles supply → protect vulnerable households without fuelling broad demand.

Indian measures and dated examples

- **Essential Commodities Act, 1955** and **Prevention of Blackmarketing and Maintenance of Supplies of Essential Commodities Act, 1980**: legal tools against shortages/hoarding, subject to lawful notification and safeguards.
- Price Stabilisation Fund buffers; OMSS wheat/rice releases; Bharat atta/rice/dal; pulse/onion imports and temporary duty or export adjustments.
- Operation Greens began with **TOP (tomato, onion, potato)** and was expanded to 41 perishables; Kisan Rail and cold-chain investment improve distribution. GST can reduce tax cascading, but not every GST change reduces prices.
- Source's wheat stock limits (24 June 2024-31 March 2025), pulse stock/import measures (2024-25), onion buffer/export-duty measures (2024) and 2021-22 buffer quantities are **historical examples**, not continuing deadlines.
- **Economic Survey 2025-26:** April-December 2025 average headline inflation **1.7%**, a partial-year figure in the then prevailing CPI series. Economic Survey release.
- **January 2026 CPI:** initially 2.75% provisional, revised to **2.74% final** on the new 2024 base. Never compare index levels across rebased series directly. MoSPI February release.

PYQ revision cues

Year(s)	Correct idea
2023	Rate hikes combat consumer inflation through monetary policy; OMO is a sterilisation instrument
2022	RBI maintains price stability; sell dollars against rapid rupee depreciation; buy dollars can absorb incoming forex
2021	Expansionary policy + fiscal stimulus + purchasing power can drive demand-pull inflation
2020	CPI food weight exceeds WPI's in the questioned series; CPI includes services, WPI does not; RBI did not switch from CPI to WPI
2015	CPI-IW compiler = Labour Bureau; reduced money circulation can restrain inflation
2013	Unexpected inflation benefits debtors; money/demand rise and output fall can raise prices; creating money to finance deficit is especially inflationary
2011	Base effect concerns the previous comparison-period price level; food demand and structural supply constraints matter
2010	Deflation = persistent general price decline; the WPI frequency question is historical

Mains 2024: causes of persistent food inflation and limits/effectiveness of RBI policy. **Mains 2019:** judge GDP growth and low inflation alongside jobs, investment, distribution, credit and external/fiscal risks; two indicators alone do not establish economic health.